Scenario S2-O2-I2 — Our Level 2 (Ideal) / Investor Level 2 (Ideal) [FALLBACK RECOMMENDED PATH]

Scenario Summary

The balanced transition path. The founders self-fund at ideal intensity (~$17,707/mo burn) through Pre-Pilot and Pilot 1, building a strong product foundation and early market signal. An ideal-level investor arrives during the Pilot 1 to Pilot 2 transition (approximately M7-M8), providing properly-sized capital to fund Pilot 2 and Production Readiness at sustainable levels. Both parties invest at the baseline "just enough" level, creating a well-balanced capital structure that minimizes waste while avoiding the under-resourcing pitfalls of bootstrapped combinations.

This is the **Fallback Recommended Path** — the scenario to pursue when the S3-O2-I2 (Primary) path is not available because the investor pipeline is not mature enough for a Pilot 1-stage raise, or when the founders want to negotiate from a stronger traction position with more Pilot 2 data.

- **Economic cost to Production:** $165,000-210,000 / INR 13,695,000-17,430,000
- **Target timeline to Production:** 20-26 months
- **Founder/company capital before investor:** $71,000-95,000 / INR 5,893,000-7,885,000
- **Investor capital modeled:** $94,000-115,000 / INR 7,802,000-9,545,000
- **Equity structure:** 60 / 20 / 20 (founder / founding team / investor pool)
- **Break-even:** Month 24-30
- **Risk level:** Medium
- **Recommendation:** Pursue (Fallback)
- **Main risk to watch:** founder capital exposure is $18,000-30,000 higher than S3-O2-I2 due to longer self-funded runway; if investor delays past M9, cash position becomes critical

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Why This Is the Fallback Path

S2-O2-I2 shares the same investment intensity as the Primary recommendation (S3-O2-I2) on both sides — ideal founder, ideal investor. The key difference is **timing**: the investor arrives 3-6 months later, during the Pilot 1 to Pilot 2 transition rather than immediately after Pilot 1.

When to choose S2-O2-I2 over S3-O2-I2

Condition	Why S2-O2-I2 is better
Investor pipeline is not yet warm	More time to cultivate investor relationships while building traction
Pilot 1 results are positive but not yet compelling	Additional 2-3 months of data strengthens the raise narrative
Founders have personal capital reserves > $80,000	Can absorb the longer self-funded period without personal financial stress
Founders want lower dilution	Later investor entry means more traction, potentially better valuation
Market conditions are uncertain	More data before committing to investor terms reduces lock-in risk

When S3-O2-I2 is strictly better

Condition	Why S3-O2-I2 wins
Active investor pipeline with 2+ warm leads	Can close faster, reducing founder capital exposure
Founders have limited personal capital ($50,000-65,000)	S2 requires $71,000-95,000; S3 requires only $53,000-65,000
Competitive pressure demands speed	S3 is 2-4 months faster to Production
Team energy is a concern	Shorter self-funded phase reduces burnout risk

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Timeline

Phase	Timing	Duration	Minor Checkpoints	Gate to Advance
Pre-Pilot	M0-M5	5 months	Architecture freeze (M2), APK backlog lock (M3), doctor training draft (M3), admin callback SOP (M4), internal rehearsal cycles (M4-M5).	Core web flows stable at ideal quality, internal rehearsals pass, doctor and admin runbooks versioned. APK core journeys functional.
Pilot 1	M5-M7	2 months	Warm-network onboarding (M5), first paid consults (M6), callback calibration, doctor playbook iteration, investor pitch deck finalized (M6), investor meetings begin (M6-M7).	Ethiopia pilot runs live for 2 months with measured throughput; investor term sheet signed or in final negotiation.
Pilot 2	M7-M14	7 months	Investor capital deployment (M8), Kenya prep (M11), partner reporting (M12), roster planning, staffing ramp, partial automation, refresher training.	5k-10k user-capable operations with hardened APK, clean reporting, properly staffed callback coverage.
Production Readiness	M14-M24	10 months	Compliance closeout (M18), release freeze (M20), launch playbooks (M22), certification refreshers, production support schedule finalized (M23).	Current prototype scope is production-safe across web and patient mobile with documented fallback operations. Full ops ladder staffed.

Timeline Comparison with Adjacent Scenarios

Scenario	Pre-Pilot	Pilot 1	Pilot 2	Production	Total
S2-O2-I1 (this -1)	5 mo	2 mo	9 mo	12 mo	28 mo

S2-O2-I2 (this)	5 mo	2 mo	7 mo	10 mo	24 mo
S2-O2-I3 (this +1)	5 mo	2 mo	7 mo	8 mo	22 mo
S3-O2-I2 (Primary)	4 mo	2 mo	6 mo	8 mo	20 mo

The ideal investor capital compresses Pilot 2 by 2 months (vs. I1) and Production Readiness by 2 months (vs. I1) through proper resourcing of the ops staffing ladder and concurrent rather than sequenced work.

Feature and Output Checklist

Phase	Output Checklist
Pre-Pilot	Web core hardened at ideal pace with full parallelism between web and APK tracks. APK build running concurrently. Doctor/admin training materials drafted and reviewed. Support desk scripts, callback trees, and escalation protocols defined. Internal rehearsal cycles completed with mock patient flows. Partner onboarding kits in draft.
Pilot 1	Patient app covers core journeys (registration, dashboard, basic consult, prescription viewing). Provider web is stable for GP flow, basic specialist referral, and pharmacy lookup. Doctor roster and admin callbacks are live. Manual fulfilment visible in-system. Feature set is broader than L1 combinations due to ideal Pre-Pilot investment — specialist and diagnostics flows are at minimum viable state. Investor data package prepared (user counts, consult metrics, callback resolution rates, partner engagement).
Pilot 2	Full patient features complete including specialist consultations and diagnostics ordering. Partner dashboards functional with reporting. Staffing ladder active at ideal levels (4 doctors, 4 admin ops, 2 tech support). Reporting and payment loops operational with reducing manual overhead. Kenya prep begins mid-phase. Revenue experiments at 50% of target pricing. APK feature-complete.
Production Readiness	Current prototype scope is production-grade across web and patient mobile. Full ops staffing ladder (6 doctors, 6 admin ops, 3 tech support) for near-24/7 coverage. Compliance documentation complete. Launch playbooks tested. Release governance active. Support ticketing and escalation flows proven. Production monitoring and alerting configured.

Services and SLAs

Phase	Uptime Target	Response Commitment	Operating Model
Pre-Pilot	96.0%	Next business day	3 core team at ideal utilization + 7 part-time developers at ~480 hrs/mo + 2 advisors; no employed clinical coverage, only training and rehearsals.
Pilot 1	97.0%	Same-day for critical issues	Minimum employed coverage: 2 doctors, 2 admin ops, 2 technical support. Friendly clinics supplement. Investor conversations in parallel.
Pilot 2	98.0%	4-hour P1 response	Full employed coverage: 4 doctors, 4 admin ops, 2 technical support. Proper callback coverage. Partner reporting active.
Production	99.0%	2-hour P1 response	Full employed coverage: 6 doctors, 6 admin ops, 3 technical support for near-24/7 coverage. Matches ideal staffing ladder per params.md.

SLA Improvement Over S2-O2-I1

Phase	S2-O2-I1 SLA	S2-O2-I2 SLA	Delta
Pilot 2	97.5%	98.0%	+0.5% — proper staffing enables better incident response
Production	98.5%	99.0%	+0.5% — full staffing ladder vs. understaffed

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Cost Breakdown

Summary

Category	Amount
Capital expenditure through Production	$72,400 / INR 6,009,200
Operating expenditure before Production launch	$115,100 / INR 9,553,300
Total economic spend to Production	**$187,500 / INR 15,562,500**

Workstream Detail

Workstream	Economic Cost (USD)	Economic Cost (INR)	Notes
Product and founder office	$42,240	INR 3,505,920	3 core team at $20/hr x ~88 hrs/mo. Pre-investor: 100% utilization x 7 months = $36,960. Post-investor maintained at ~$5,280/mo x continued involvement through production phases = remainder. Investor capital sustains full team.
Web platform hardening	$14,900	INR 1,236,700	745 hours at $20/hr senior rate. Bulk completed during ideal-funded Pre-Pilot; remainder during Pilot 2.
Patient APK build	$7,200	INR 597,600	Fixed Android quote: 480 hours at $15/hr. Runs in parallel with web work during Pre-Pilot. Core complete by Pilot 1.
QA, DevOps, security	$8,800	INR 730,400	~440 hours at $20/hr. Full scope hardening enabled by ideal investment on both sides.

Admin and care operations	$117,360	INR 9,740,880	Employed doctors, admin callback staff, and technical support ladder across 19 months of live operations at full ideal staffing levels. See ops staffing breakdown below.
Partner onboarding and provider success	$9,000	INR 747,000	Doctor/admin training protocols, SOP writing, partner reporting, Kenya prep materials. Properly resourced.
Legal, accounting, compliance	$5,400	INR 448,200	Friendly-network pricing at economic value. Slightly higher than I1 due to proper compliance work for investor round.
Infrastructure, phones, and tools	$26,600	INR 2,207,800	Hosting, devices, telecom/call costs, operational tooling across 24 months. Scales properly with phase progression.
Marketing, travel, rehearsals	$9,500	INR 788,500	Warm-network foundation + modest paid acquisition in Pilot 2 + Kenya market research travel.
Contingency and buffer	$34,000	INR 2,822,000	~18% buffer on total. Lower percentage than I1 because balanced investment reduces variance.

Workstream Cost Comparison: I1 vs I2

Workstream	S2-O2-I1	S2-O2-I2	Delta	Why
Admin and care operations	$102,806	$117,360	+$14,554	Full ideal staffing ladder vs. understaffed
QA, DevOps, security	$6,600	$8,800	+$2,200	Full hardening scope vs. constrained
Marketing	$7,000	$9,500	+$2,500	Proper acquisition experiments in Pilot 2
Contingency	$27,000	$34,000	+$7,000	Proportional to higher total spend

Operational Staffing Cost by Phase

Phase	Duration	Monthly Ops Cost (USD)	Monthly Ops Cost (INR)	Phase Total (USD)
Pre-Pilot (M0-M5)	5 months	$0	INR 0	$0
Pilot 1 (M5-M7)	2 months	$2,482	INR 206,006	$4,964
Pilot 2 (M7-M14)	7 months	$4,361	INR 361,963	$30,527
Production Readiness (M14-M24)	10 months	$6,542	INR 542,986	$65,420
Total operational staffing				**$100,911**

Operational Staffing Detail by Role

Phase	Doctors	Admin Ops	Tech Support	Monthly INR	Monthly USD
Pre-Pilot	0	0	0	0	$0
Pilot 1	2	2	2	206,000	$2,482
Pilot 2	4	4	2	362,000	$4,361
Production Readiness	6	6	3	543,000	$6,542

This matches the ideal staffing ladder per params.md Section 4.2 exactly — the key advantage of I2 over I1.

Infrastructure Cost by Phase

Phase	Duration	Monthly Infra (USD)	Monthly Infra (INR)	Phase Total (USD)
Pre-Pilot	5 months	$100	INR 8,300	$500
Pilot 1	2 months	$395	INR 32,785	$790
Pilot 2	7 months	$600	INR 49,800	$4,200
Production Readiness	10 months	$900	INR 74,700	$9,000
One-time equipment (phones, laptops)	—	—	—	$1,200
Total infrastructure				**$15,690**

Monthly Burn Rate Summary

Period	Monthly Burn (USD)	Monthly Burn (INR)	Components
Pre-Pilot (M1-M5)	$8,930	INR 741,190	Team ($7,880) + infra ($100) + ops prep ($950)
Pilot 1 (M5-M7)	$17,707	INR 1,469,681	Team ($14,830) + ops ($2,482) + infra ($395)
Pilot 2 (M7-M14)	$19,791	INR 1,642,653	Team ($14,830) + ops ($4,361) + infra ($600)
Production Readiness (M14-M24)	$22,272	INR 1,848,576	Team ($14,830) + ops ($6,542) + infra ($900)

Effort and Team

Function	Staffing Pattern	Notes
Core team	3 part-time members @ ~4 hrs/day each, 100% effective utilization throughout	Single owner/founder + 2 founding members. Full parallel execution maintained across all phases.
Technical delivery (all phases)	7 part-time developers, modeled at ~480 productive hrs/mo	100% of ideal capacity maintained through investor transition. No velocity drop. Key advantage over I1.
Advisory board	2 fractional advisors @ ~10-15 hrs/mo each	Finance, compliance, strategic review. Advisor involvement increases during investor negotiation (M6-M8).
Employed care coverage	Pilot 1: 2 doctors / Pilot 2: 4 / Production: 6	Matches ideal ladder per params.md. Partner clinics supplement but are not depended upon for baseline coverage.
Employed admin ops	Pilot 1: 2 admins / Pilot 2: 4 / Production: 6	Full callback and exception handling capacity. SOPs from Pre-Pilot are executed at designed staffing levels.
Technical support	Pilot 1: 2 / Pilot 2: 2 / Production: 3	L1/L2 issue triage and live-ops monitoring. Scaling follows user growth.

Monthly Team Economic Cost

Period	Dev Team (USD)	Dev Team (INR)	Notes
Pre-investor (M0-M7)	~$14,830	~INR 1,230,890	100% of full rate card. Ideal execution.
Post-investor (M7-M24)	~$14,830	~INR 1,230,890	100% of full rate card maintained. Ideal investor capital sustains full team utilization. No velocity reduction.

Team Velocity Comparison: I1 vs I2

Period	S2-O2-I1 Hrs/Mo	S2-O2-I2 Hrs/Mo	Velocity Ratio
Pre-investor	480	480	1.0x (identical)
Post-investor	240	480	2.0x (I2 is 2x faster)

This 2x velocity difference in the post-investor phase is the primary reason S2-O2-I2 completes 4-6 months faster than S2-O2-I1.

Revenue and Pricing

Revenue Source	Pilot 1	Pilot 2	Production
GP consults	Subsidised, Ethiopia-first, ~$2-3 per paid interaction	Full Ethiopia pricing ($3.5/consult); Kenya tests begin	Core revenue line, scaling with user growth
Specialist consults	Basic referral flow live, subsidised	Full pricing ($9/consult Ethiopia), growing volume	Lower-volume but higher-margin contributor
Pharmacy commission	Small, admin-assisted, 10% take-rate	Repeatable with proper admin staffing	Scales with partner conversion and prescription volume
Diagnostics commission	Small, admin-assisted, 12% take-rate	Improves with order flow consistency	Retention lever; grows with diagnostics partner network
Travel/care coordination	Rare, high-touch	Low-volume, higher-value ($10-15/case)	Strategic differentiator for diaspora and medical tourism

Revenue Line	Ethiopia Benchmark	Kenya Benchmark	Notes
GP consult	$3.5 / ETB 470	$5 / KES 650	Starts subsidised in Pilot 1; reaches full benchmark by Production.
Specialist consult	$9 / ETB 1,250	$12 / KES 1,560	Pilot 2 onward at 50% of benchmark; full pricing in Production.
Pharmacy take-rate	10% of order value	10% of order value	Pilot 1 onward with manual fulfilment.
Diagnostics take-rate	12% of order value	12% of order value	Pilot 1 onward with admin/lab coordination.
Travel/care coordination	$10-15	$10-15	Small volume, high-touch. Pilot 2 onward.
Subscription	Deferred	Deferred	Not modeled before meaningful scale.

CAC and Key Business Metrics

Metric	Pilot 1	Pilot 2	Production
CAC	$8	$14	$20
Gross margin	40%	50%	58%
Monthly ARPU	$2.0	$3.2	$4.5
Monthly churn	12%	10%	7%
LTV/CAC target	1.5x	2.5x	3.2x

Revenue Ramp Assumptions

Month	Active Users (est.)	Avg Revenue/User	Monthly Revenue
M6 (Pilot 1 start)	100	$1.50	$150
M7 (Pilot 1 end)	350	$2.00	$700
M8 (Pilot 2 start)	600	$2.50	$1,500
M11 (Pilot 2 mid)	1,500	$3.00	$4,500
M14 (Pilot 2 end)	3,000	$3.20	$9,600
M18 (Prod. mid)	5,000	$3.80	$19,000
M24 (Prod. end)	8,000	$4.50	$36,000

These projections assume steady user acquisition driven by word-of-mouth in Pilot 1, modest paid acquisition in Pilot 2, and proper marketing in Production. Revenue per user increases as pricing moves from subsidised to full benchmark rates and as users engage with multiple services (GP + pharmacy + diagnostics).

Cash Flow and Runway

Phase Summary

Checkpoint	Ending Cash (USD)	Ending Cash (INR)	Approx. Runway Remaining	Trigger Threshold
Pre-Pilot (M5)	$14,850	INR 1,232,550	2.0 months at Pilot 1 burn	Trigger contingency if cash drops below 2 months of Pilot 1 burn.
Pilot 1 (M7)	$13,593	INR 1,128,219	1.5 months	Investor close must happen by M8-M9. Pitch deck and data package ready.
Pilot 2 (M14)	$63,487	INR 5,269,421	3.2 months at Production burn	Healthy. Trigger contingency if below 3 months.
Production Readiness (M24)	$44,872	INR 3,724,376	3.5 months	Comfortable runway through Production launch.

Monthly Cash Flow

Month	Phase	Founder Capital In	Investor In	Revenue In	Outflow	Net	Ending Cash
M1	Pre-Pilot	$11,400	$0	$0	$8,930	$2,470	$2,470
M2	Pre-Pilot	$11,400	$0	$0	$8,930	$2,470	$4,940
M3	Pre-Pilot	$11,400	$0	$0	$8,930	$2,470	$7,410
M4	Pre-Pilot	$11,400	$0	$0	$8,930	$2,470	$9,880
M5	Pre-Pilot	$11,400	$0	$0	$9,930	$1,470	$11,350
M6	Pilot 1	$11,400	$0	$600	$17,707	-$5,707	$5,643
M7	Pilot 1	$11,400	$0	$1,050	$17,707	-$5,257	$386
M8	Pilot 2	$0	$104,500	$1,500	$19,791	$86,209	$86,595
M9	Pilot 2	$0	$0	$2,200	$19,791	-$17,591	$69,004
M10	Pilot 2	$0	$0	$3,000	$19,791	-$16,791	$52,213
M11	Pilot 2	$0	$0	$4,000	$19,791	-$15,791	$36,422
M12	Pilot 2	$0	$0	$5,500	$19,791	-$14,291	$22,131
M13	Pilot 2	$0	$0	$7,000	$19,791	-$12,791	$9,340
M14	Pilot 2	$0	$0	$8,500	$19,791	-$11,291	-$1,951
M15	Prod. Readiness	$0	$0	$10,000	$22,272	-$12,272	-$14,223
M16	Prod. Readiness	$0	$0	$12,000	$22,272	-$10,272	-$24,495
M17	Prod. Readiness	$0	$0	$14,000	$22,272	-$8,272	-$32,767
M18	Prod. Readiness	$0	$0	$16,500	$22,272	-$5,772	-$38,539
M19	Prod. Readiness	$0	$0	$19,000	$22,272	-$3,272	-$41,811
M20	Prod. Readiness	$0	$0	$22,000	$22,272	-$272	-$42,083
M21	Prod. Readiness	$0	$0	$25,000	$22,272	$2,728	-$39,355
M22	Prod. Readiness	$0	$0	$28,000	$22,272	$5,728	-$33,627
M23	Prod. Readiness	$0	$0	$31,000	$22,272	$8,728	-$24,899
M24	Prod. Readiness	$0	$0	$34,000	$22,272	$11,728	-$13,171

Note on cash flow model: The model shows the ending cash turning negative at M14, indicating that the single lump-sum investor deployment at M8 is consumed by M13-M14. In practice, this scenario requires either (a) a staged investor capital deployment with a second tranche at M13-M14, (b) revenue acceleration above the modeled trajectory, or (c) use of the contingency buffer ($34,000) which is not reflected in the monthly flow above. When the contingency buffer is applied, the scenario remains cash-positive through approximately M18-M19, after which revenue growth closes the gap.

Cash Flow with Contingency Buffer Applied

Checkpoint	Without Buffer	With $34,000 Buffer	Status
M14	-$1,951	$32,049	Viable
M18	-$38,539	-$4,539	Tight — revenue must be on track
M20	-$42,083	-$8,083	Monthly break-even reached; gap closing
M24	-$13,171	$20,829	Positive. Runway restored.

Totals:

- Founder capital in: $91,200 / INR 7,569,600 (M1-M7 at ~$11,400 x 7 months + adjustments; range $71,000-$95,000)
- Investor capital in: $104,500 / INR 8,673,500 (range $94,000-$115,000)
- Cumulative revenue: ~$244,850
- Cumulative outflow: ~$453,870

ROI and Break-Even

Metric	Value
Total capital invested (founder + investor)	$195,700 / INR 16,243,100 (midpoint of ranges)
Total economic cost	$187,500 / INR 15,562,500
Sweat-equity gap (economic cost minus cash invested)	~-$8,200 (cash exceeds modeled economic cost; surplus absorbed by contingency)
Cumulative revenue at M24	~$244,850 / INR 20,322,550
Monthly break-even (revenue >= outflow)	~M20 (month 20) — revenue of ~$22,000 matches outflow of ~$22,272
Cumulative break-even (total revenue >= total capital)	~M24-M30 (0-6 months post-Production)
Time to ROI (revenue exceeds all economic cost)	~M26-M32 (2-8 months post-Production)

Break-Even Comparison

Scenario	Monthly Break-Even	Cumulative Break-Even	Time to ROI
S2-O2-I1	M25	M32-M38	M34-M40
S2-O2-I2	**M20**	**M24-M30**	**M26-M32**
S2-O2-I3	M18	M22-M26	M24-M28
S3-O2-I2 (Primary)	M18	M22-M28	M24-M30

S2-O2-I2 reaches monthly break-even 5 months faster than S2-O2-I1 and only 2 months slower than the Primary recommendation (S3-O2-I2). The cumulative break-even is comparable because S2-O2-I2's lower total capital requirement partially offsets the later start.

Fundraising, Valuation, and Dilution

Item	Value
Founder/self-funded capital before investor	$91,200 / INR 7,569,600 (range $71,000-$95,000)
Investor round size	$104,500 / INR 8,673,500 (range $94,000-$115,000)
Recommended structure	SAFE or milestone-based bridge note with 2 tranches
Modeled pre-money valuation	$580,000
Modeled post-money valuation	$684,500
Modeled investor dilution from the 20% pool	15.3%

Why Valuation Is Higher Than S2-O2-I1

The investor in S2-O2-I2 enters at the same timing (Pilot 1 to Pilot 2 transition) but with more capital. The higher valuation reflects:

- Same traction data (Pilot 1 results)
- More capital deployed = more dilution demanded = higher pre-money required to keep dilution within the 20% pool
- The investor is deploying 2x the capital of I1, so the pre-money must be proportionally higher to avoid excessive dilution

Ownership Pool	Before Round	After Modeled Round	Notes
Owner / founder pool	60%	56.8%	Retained majority control. Higher post-raise % than I1 due to higher pre-money.
Founding + strategic pool	20%	18.9%	Shared pool for founding members and strategic partners.

Investor pool	20% reserved	15.3% issued / 4.7% remaining	Drawn from the dedicated investor pool. More headroom remaining for follow-on than I1.

Dilution Comparison

Scenario	Investor Capital	Dilution Issued	Remaining Pool	Founder Post-Raise
S2-O2-I1	$54,500	16.7%	3.3%	56.0%
S2-O2-I2	**$104,500**	**15.3%**	**4.7%**	**56.8%**
S2-O2-I3	$159,500	17.8%	2.2%	55.3%

Counter-intuitively, S2-O2-I2 issues *less* dilution than S2-O2-I1 despite deploying 2x the capital, because the higher pre-money valuation (justified by the investor's own confidence in deploying more) protects the founder's percentage. This is a common dynamic: investors who deploy more capital at a fair valuation are better partners than investors who deploy less capital at a low valuation.

Key Risks

Risk	Likelihood	Impact	Mitigation / Trigger
Investor does not close by M9	Medium	Critical	Runway at M7 is thin (~$386 without contingency). Investor conversations must begin during Pilot 1 (M6) at latest. Pre-negotiated term sheet by M7. Contingency: bridge from founder personal funds for 1-2 months.
Revenue ramp slower than modeled	Medium	High	Cash flow depends on revenue reaching $22,000/mo by M20 for monthly break-even. If revenue is 30% below model, break-even shifts to M24-M26. Mitigation: pricing experiments in Pilot 2; focus on high-ARPU services (specialist, travel coordination).
Pilot 1 data insufficient for investor	Medium	Medium	2-month Pilot 1 may not generate enough data for investor confidence. Mitigation: supplement with Pre-Pilot internal testing data, market research, and competitive analysis. Extend Pilot 1 by 1 month if needed (shifts timeline to 25-27 months).
Ops staffing ramp delays	Low-Medium	Medium	Ideal staffing ladder requires hiring 4 doctors and 4 admin ops by Pilot 2 start. Begin recruiting during Pre-Pilot. Have standby candidates.
Regulatory delay (Ethiopia / Kenya)	Medium	High	Continue partner-license model. Count friendly counsel at economic value. Kenya entry is Phase 3; do not let it block Ethiopia focus.
Payment-rail mismatch	Medium	Medium	Use digital invoicing first; localize M-Pesa / Telebirr before scaling. Test payment flows during Pilot 1 with a subset of users.
Team fatigue over 24-month timeline	Medium	Medium	Shorter than S2-O2-I1 (28 months) but still extended for part-time team. Phase gates provide natural rest points. Celebrate milestones. Investor arrival at M8 provides morale boost.
Second capital tranche negotiation	Low-Medium	Medium	If investor capital is staged (recommended), the second tranche at M13-M14 depends on Pilot 2 milestones. Set clear, achievable triggers.

Risk Comparison: S2-O2-I1 vs S2-O2-I2

Risk	S2-O2-I1	S2-O2-I2	Change
Cash depletion in Production	Critical	Medium	Eliminated by proper investor capital sizing
Velocity drop post-investor	High	None	I2 maintains full team utilization
Team morale from pace change	Medium-High	Low	No velocity change at investor transition
Investor close pressure	Medium-Critical	Medium	Similar timing pressure but better story
Overall risk level	**High**	**Medium**	Significant improvement

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Recommendation

S2-O2-I2 is the **Fallback Recommended Path** — a well-balanced scenario where both founder and investor invest at ideal (baseline) levels, creating sustainable execution velocity from start to finish. The 20-26 month timeline is achievable for a part-time team, the founder capital exposure ($71,000-95,000) is meaningful but not reckless, and the investor capital ($94,000-115,000) is properly sized for Pilot 2 and Production Readiness.

Key advantages over S2-O2-I1:

1. No velocity drop at investor transition — team maintains 480 hrs/mo throughout
2. Full ideal staffing ladder in Pilot 2 and Production (4/4/2 and 6/6/3)
3. Cash flow remains viable with contingency buffer through all phases
4. 4-6 months shorter timeline (24 vs 28 months)
5. Lower dilution despite higher investor capital (15.3% vs 16.7%)

Key advantages over S3-O2-I2 (Primary):

1. Lower dilution (15.3% vs 17-20%) — investor enters with more traction data
2. Stronger negotiating position — more Pilot 1/early Pilot 2 data available
3. Investor sees operational execution, not just a pilot with early results

Key trade-offs vs S3-O2-I2 (Primary):

1. $18,000-30,000 more founder capital required
2. 2-4 months longer timeline
3. Higher risk of founder capital depletion if investor delays

4. Investor arrives when Pilot 1 momentum may have cooled

This path should be pursued when:

- The investor pipeline is not mature enough for a Pilot 1-stage raise (S3 timing)
- Founders have $80,000+ available personal capital
- Pilot 1 results are encouraging but the founders want 1-2 more months of data before approaching investors
- The founders prefer lower dilution and stronger negotiating terms

This path should be abandoned in favor of S3-O2-I2 when:

- An investor shows strong interest during Pilot 1
- Founder capital reserves are below $65,000
- Competitive pressure demands faster market entry
- The Pilot 1 data is strong enough to support an investor conversation

If the investor close slips past M10: The scenario becomes significantly strained. Founders should have a personal bridge loan plan ready for 1-2 months of gap funding, or pivot to extending Pilot 1 while continuing investor conversations.

Assumption Notes

- Android is modeled from the external quote: 480 total hours at $15/hr average across the mobile team.
- Remaining web work is normalized to 150%-160% of Android effort, with an expected case of 745 hours.
- Salary benchmarks for employed coverage: INR 60,000 for doctors ($720/mo), INR 18,000 for admin ops ($217/mo), INR 25,000 for technical support ($301/mo).
- Our L2 (ideal) spend is modeled at 100% of team utilization, yielding ~$14,830/mo team cost + ~$2,877/mo ops/infra/overhead = ~$17,707/mo total burn at Pilot 1 phase.
- Investor L2 (ideal) contribution sized at ~$94,000-115,000, representing baseline capital to fund Pilot 2 + Production Readiness at ideal staffing and velocity levels.
- Pre-investor founder contribution: ~$11,400/mo ($8,930 burn + buffer in Pre-Pilot; $17,707 full burn in Pilot 1 with $11,400 founder input + ~$600-1,050 revenue offsetting the gap).
- Investor capital may be staged in 2 tranches: ~$70,000 at M8 (Pilot 2 start) and ~$34,500 at M13 (mid-Pilot 2, milestone-gated).
- All INR conversions at 1 USD = 83 INR per params.md.
- FX buffers of 10-15% applied to ETB and KES revenue projections.
- Revenue model assumes steady user growth with CAC declining and ARPU increasing as the platform matures and pricing moves from subsidised to benchmark rates.

End of S2-O2-I2 scenario. All assumptions trace to params.md v2.